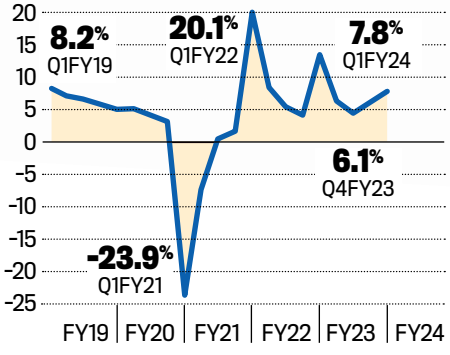


TRACING THE GROWTH

Post Covid, GDP not only recovered but grew at a healthy 7.8% in Q1FY24



into account consumer spending by individuals, net expenditure by the government, all capital spending (on buildings or machines) as well as net exports (value of all exports minus the value of imports). A third approach used globally is the production method, which sums up the gross value added of all economic activities within the country, plus indirect taxes minus subsidies.

'INFLATED' FIGURES

Prof. Mody asserted that India's GDP number fails to capture the full impact of headwinds such as inflation and is thus 'inflated'. "It [the data] shows that while income from production increased at an annual 7.8 per cent in April-June, expenditure rose by only 1.4 per cent. Both measures clearly have many errors," he wrote. "The NSO (National Statistical Office) nonetheless treats income as the right one and assumes (as implied by its "discrepancy" note, a reporting convention in national income) that expenditure must be identical to income earned. This is an obvious violation of international best practice."

Prof. Mody goes on to say that the entire point of the discrepancy line is to acknowledge statistical